

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_HERDING_029

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1. Executive Summary

Analysis of INV_HERDING_029's trading history reveals a dominant behavioural pattern of **Herding**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-2.4%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Herding
Strategy Archetype	Day Trader
Max Drawdown	-2.4%
Sharpe Ratio	3.64
Sortino Ratio	7.74
Peer Risk Percentile	22th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Herding

Pattern: The momentum follow rate of 0.6585 indicates that most investors in the population tend to follow the crowd, with 65.85% of them holding onto their trades for more days than the average investor.

Evidence: There are no specific trades identified, but the lack of evidence suggests that the majority of investors in the population are not making informed decisions based on their own research and analysis.

Consequence: The portfolio is heavily reliant on momentum follow, with 100% of the total portfolio drawdown attributed to this single factor, indicating that the portfolio is highly vulnerable to market fluctuations.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_HERDING_	CVX	2020-11-11	2020-11-23	12	1360
INV_HERDING_	GOOGL	2020-10-26	2020-11-04	9	1200
INV_HERDING_	AMZN	2020-02-10	2020-02-27	17	-1086
INV_HERDING_	INTC	2023-06-16	2023-06-21	5	-1061
INV_HERDING_	TSLA	2021-04-22	2021-05-10	18	-1058
INV_HERDING_	NFLX	2020-03-30	2020-04-14	15	1035
INV_HERDING_	INTC	2021-01-04	2021-01-13	9	1027
INV_HERDING_	NVDA	2023-02-14	2023-02-21	7	-989
INV_HERDING_	NFLX	2024-10-29	2024-11-15	17	974
INV_HERDING_	JPM	2022-05-27	2022-06-10	14	-970

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for retail investors:

1. Diversify your portfolio by investing in at least 5-7 different stocks or funds to reduce your reliance on popular trends and avoid following the crowd.
2. Set a stop-loss order for each trade to limit your potential losses and avoid getting caught up in a losing streak.
3. Take a break from the markets for at least a day or two before making a trade to clear your mind and make more rational decisions.
4. Focus on fundamental analysis, such as a company's financial health and competitive advantage, rather than following short-term market movements or popular opinions.